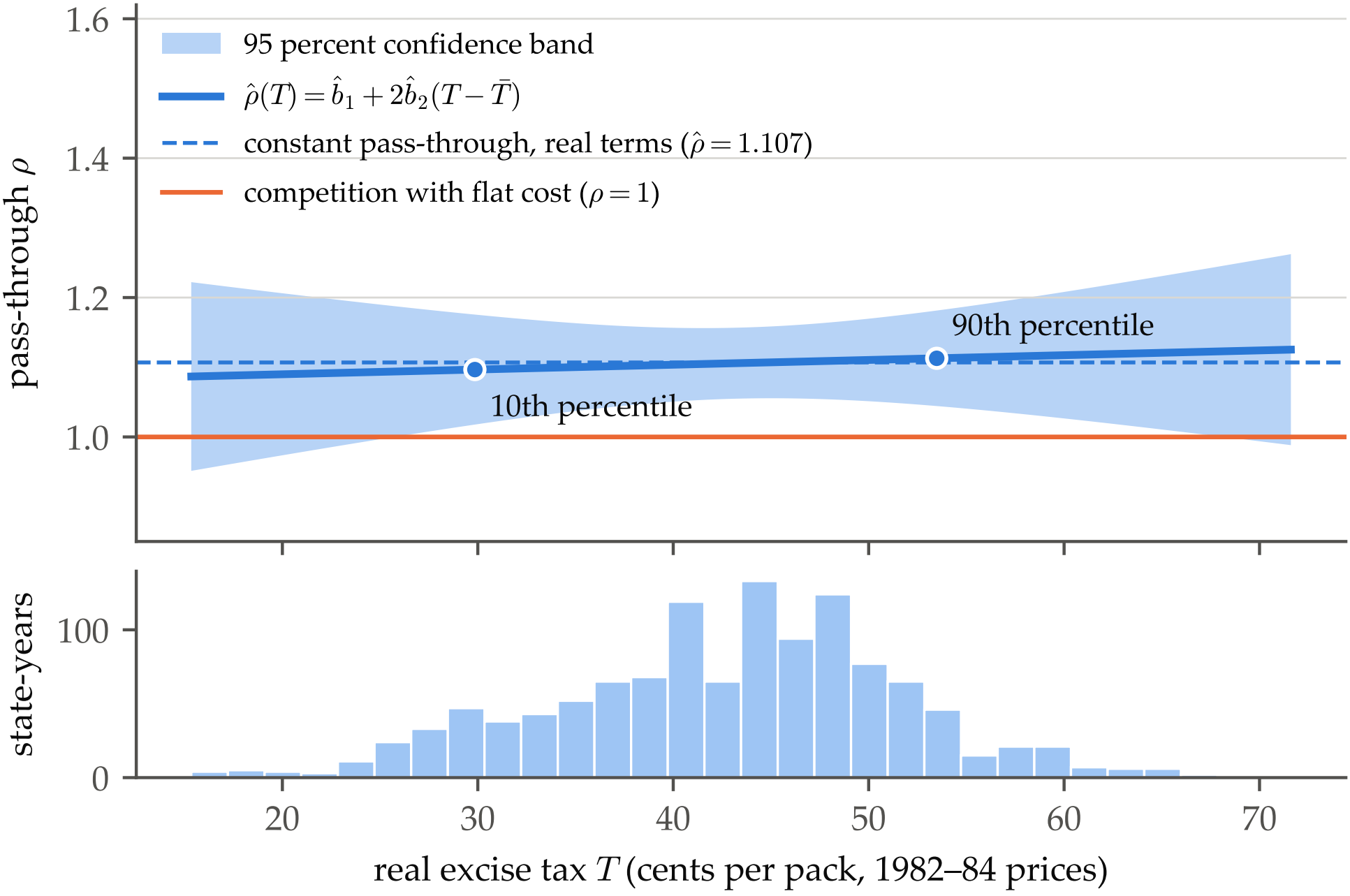
95 percent confidence band
$\hat{\rho}(T) = \hat{b}_1 + 2\hat{b}_2(T - \bar{T})$
constant pass-through, real terms ($\hat{\rho} = 1.107$)
competition with flat cost ($\rho = 1$)
90th percentile
10th percentile
pass-through ρ
1.6
1.4
1.2
1.0
state-years
100
0
20
30
40
50
60
70
real excise tax T (cents per pack, 1982–84 prices)